



Samara University
College of Business and Economics
Department of Management
Model Exit Examination

Time Allowed: 3:20 Hours

Name: _____

Id No. _____

Instructions to the Candidate

- Write your name and identification number clearly in the space provided
- This model exit examination booklet is divided into five themes and contains 200 questions.
- Write the letter of your choice in the answer sheet provided
- No cell phones/iPods are allowed during the examination at any time.
- Please do not talk during the examination.
- If you have a problem please raise your hand and wait quietly for a teacher.
- At the conclusion of your examination please refrain from speaking until you are outside the exam room as there may still be other examinations still in progress.
- Stop writing immediately when the invigilator says it is the end of the exam.

Do not turn over exam papers until told to do so

Choose the best among the given alternatives and write your answer in the answer sheet provided

Theme one: Fundamentals of Management and Marketing Questions

1. In what order do managers typically perform the managerial functions?
 - A. organizing, planning, controlling, leading
 - B. organizing, leading, planning, controlling
 - C. planning, organizing, leading, controlling
 - D. planning, organizing, controlling, leading

Answer - C

2. Which one of the following is not true about the definition of marketing?
 - A. Marketing is the performance of business and other organizations that directs the flow of products (goods, services and ideas) from producers to consumers or users.
 - B. Marketing is the process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individuals' and companies' goals.
 - C. Marketing as a social and managerial process by which individuals and groups obtain what they need, want and demand through creating, offering and exchanging products of value with others.
 - D. Marketing is a firm's activity used to inform, persuade, or remind people about its products, services, image, ideas, community involvement, or impact on society.

Answer - D

3. Why purchasers of Mercedes-Benz cars expect to acquire more than just the cars themselves. Because:
 - A. The product is complementary material
 - B. A product is a bundle of utilities
 - C. The product is supplementary material
 - D. This product is standardized

Answer - B

4. Which of the following consists in knowing the extent to which actions are in conformity with plans adopted and instructions issued so that errors and deviations are promptly reported and analyzed, and suitable corrective actions taken?

- A. Forecast
- B. Planning
- C. Controlling
- D. Decision

Answer - C

5. When companies do not apply the objective of price skimming for their product?

- A. If limited supply exists
- B. If the company is the only seller of a new or innovative product
- C. If the customer does not price sensitive
- D. If the company has strong competitors

Answer - D

6. Which marketing concept /philosophy / assumes that the key to achieving organizational goals is based on the determination of the needs and wants of consumers and delivering or providing the desired satisfaction more efficiently, and effectively, than competitors.

- A. Production concept
- B. Product concept
- C. Marketing concept
- D. Social marketing concept

Answer - C

7. Which of the following principle of Henry Fayol emphasizes the need for teamwork?

- A. Esprit de corps
- B. Stability of tenure of personnel
- C. Division of work
- D. Scalar chain

Answer - A

8. What types of marketing task is advisable to use a person with latent demand?

- A. Remarketing
- B. Developmental marketing

- C. Stimulational marketing
- D. De-marketing

Answer - B

9. Among the following one is incorrect about product adoption.
- A. A product must be compatible with local customs and habits
 - B. The product must give comparative advantage over existing alternative
 - C. The product must use the same promotional message.
 - D. Observation of a product in public tends to encourage social acceptance and reinforcement.

Answer - C

10. Managers require a combination of technical competence, social and human skills and conceptual ability. Technical competence may be defined as:
- A. The ability to view the complexities of the operations of the organization as a whole, including environmental influences
 - B. The ability to secure the effective use of human resources of the organization
 - C. The ability to apply specific knowledge, methods and skills to discrete tasks
 - D. None of the above

Answer - C

11. The marketing environment forces that shape opportunities and pose threats to company is known as_____?
- A. Micro environment
 - B. Internal environment
 - C. Physical environment
 - D. Macro environment

Answer - D

12. HUAWEI mobile company does distribute its product for developing countries that was not consumer of this company's product before. For these developing countries, this type of new product said to be.
- A. New to the market
 - B. New to the company
 - C. New to the world

D. Product line extension

Answer - A

13. In decision making under different conditions, what is the difference between risk and uncertainty?

- A. Under risk, information is reliable; under uncertainty, it is not.
- B. Under risk, choices are clear and the chances of different outcomes can be measured; under uncertainty, neither applies
- C. Under risk, there is a well-defined problem; under uncertainty, the definition is unclear.
- D. Under risk, probabilities can be measured; under uncertainty, they cannot

Answer - B

14. Which one of the following is/are not advantage of product standardization?

- A. Economies of production by minimizing cost
- B. Better planning
- C. More effective control
- D. Satisfying customers by modifying products

Answer - D

15. A type market consists of all individuals and households who buy or acquire goods and services for personal consumption is known as; -----?

- A. Governmental market
- B. Business market
- C. Consumer market
- D. Reseller market

Answer - C

16. Who is popularly known as the 'founder of modern management theory'?

- A. Frederick Taylor
- B. Luther Gulick
- C. Newmann and Summer
- D. Henry Fayol

Answer - D

17. Which one of the following is odd?

- A. Public
- B. Top manager
- C. Research and development
- D. Finance

Answer - A

18. Which one of the following is/are not advantage of product standardization?

- A. Economies of production by minimizing cost
- B. Better planning
- C. More effective control
- D. Satisfying customers by modifying products

Answer - D

19. Which of the following best expresses the difference between programmed and non-programmed decisions?

- A. Made by managers who prefer a thinking or technocratic style; made by managers who use judgment and follow intuition
- B. Have computer routines developed for them; are not computerized
- C. Handled with decision rules; decision rules cannot be developed
- D. Occur under certainty or risk; occur under uncertainty or ambiguity

Answer - C

20. A type market consists of all individuals and households who buy or acquire goods and a service for personal consumption is known as_____?

- A. Governmental market
- B. Business market
- C. Consumer market
- D. Reseller market

Answer - C

21. Which reason/s is/are the cause for reversal trade?

- A. Innovative countries establish sufficient productive facilities
- B. Innovative country's comparative advantage has disappeared
- C. Low-income country's technological backwardness

D. Middle-income country's technological development

Answer - B

22. Authority at higher echelons of management hierarchy?

- A. Delegation of authority
- B. Decentralization
- C. Centralization
- D. Exception principle

Answer - C

23. Which types of consumer buying behavior characterized when the consumers are highly involved in a purchase and perceive significant differences among brands, or when the product is expensive, risky, and purchased infrequently?

- A. Dissonance-Reducing Buying Behavior
- B. Habitual Buying Behavior
- C. Variety-Seeking Buying Behavior
- D. Complex buying behavior

Answer - D

24. Which one is the reason for international marketers avoiding their participation to enter foreign markets?

- A. Proximity of market
- B. Unsolicited orders
- C. Too much red tape
- D. Excess capacity

Answer - C

25. Determining the number of people who are accountable to a single manager refers to

- A. Chain of command
- B. Degree of centralization
- C. Span of control
- D. Degree of specialization

Answer - C

26. Which of the following is the act of designing the company's offering and image to occupy a distinctive place in the mind of the target market?

- A. Segmentation
- B. Targeting
- C. Positioning
- D. Segregating

Answer - C

27. Which pricing method is adopted by a new entrant firm to a foreign market, who may not have full knowledge of the market and the maturity or strength of competition?

- A. Differential Pricing
- B. Probe Pricing
- C. Competitive pricing
- D. Managerial cost Pricing

Answer - B

28. When management pays attention to more important areas and when the day to day routine problems are looked after by lower level management, it is known as –

- A. Management by objectives
- B. Management by Exception
- C. Participative Management
- D. Critical path method

Answer - B

29. Which levels of market segmentation is more narrowly defined group, by defining a group with a distinctive set of traits who may seek a special combination of benefits.

- A. Micro marketing
- B. Segment marketing
- C. Mass Marketing
- D. Niche Marketing

Answer - D

30. In which term of sale, the responsibility of seller is transferred to buyer at the products point of origin?

- A. EX- works
- B. Free carrier
- C. Free on board
- D. Free alongside ship

Answer - D

31. Chief executive officer or chairmen of the board are positions associated with which of the following levels of management?

- A. Top level management
- B. Low level management
- C. Middle level management
- D. Supervisory level management

Answer - A

32. Which of the following is the basic benefit that a customer seeks from product?

- A. Augmented benefit
- B. Core benefits
- C. Expected benefit
- D. Additional benefit

Answer - B

33. Which method of payment is most favorable to the exporter?

- A. Bills of exchange
- B. Consignment
- C. Letters of credit
- D. Cash in advance

Answer - D

34. Helen's strength as a manager lies in her ability to work with people. She is able to work with, motivate, and lead others easily. Helen is demonstrating which managerial skill?

- A. Conceptual skill
- B. Interpersonal skill
- C. Technical skill

D. Political skill

Answer -B

35. Which one of the following marketing mix elements generated revenue?

- A. Product
- B. Promotion
- C. Price
- D. placing

Answer -C

36. Which one is an activity of companies with marketing facilities or contacts in different countries with excess marketing capacity or a desire for a broader product line sometimes take on additional lines for international distribution.

- A. Manufacturer's Representatives
- B. Trading Companies
- C. Complementary Marketers
- D. Manufacturer's Export Agent

Answer -C

37. Daniel was a middle manager who managed the facility where the fire occurred. He took responsibility for making sure that the fire was extinguished and communicating to the local community and others outside of the company. When he completed these activities, what roles was Daniel performing?

- A. Disseminator and leader
- B. Leader and spokesperson
- C. Spokesperson and disturbance handler
- D. Disturbance handler and disseminator

Answer -C

38. Setting a low price for a new product in order to attract a large number of buyers and a large market share is known as; -----?

- A. Market skimming pricing
- B. Market penetration pricing
- C. Premium pricing
- D. High pricing

Answer -B

39. Most customers understand NIKE is the best sporting shoes in the world; this shows
- A. Positioning
 - B. Targeting
 - C. Segmentation
 - D. Selection

Answer -A

40. In case of decision making, “diagnosing the real problem implies”
- A. Analyzing the internal and external factors and discovering relations between the
 - B. Knowing the gap between what exists and what is expected to happen, identifying the reasons for the gap
 - C. Decentralizing routine matters so that top management can concentrate on vital and strategic decisions
 - D. Actual selection of a course of action from among a number of alternatives

Answer -B

41. Which of the following refers to capacity to influence the behavior of others and secure obedience?
- A. Power
 - B. Responsibility
 - C. Accountability
 - D. Authority

Answer -A

42. Which of the following is not true with regard to functional authority?
- A. Functional authority is the authority staff members have over line members within the limits of their functions
 - B. Functional authority has the same effect as line authority but it doesn't have the right that line authority has, to punish violations or deviations in order to ensure compliance
 - C. Functional authority is limited to those areas where a staff member has some technical competence
 - D. Functional authority is in sync with the principle of unity of command.

Answer -D

43. As per Henry Fayol principle of “Subordination”-

- A. Organizational interest should be subordinate to individual interest.
- B. Individual interest should be subordinate to general interest.
- C. Individual should not have any sort of interest at all.
- D. Organizational interest should be subordinate to national interest.

Answer -B

44. Which type of counter trade is associated with a turnkey type of project in that it involves the provision of the means to deliver goods or a service in exchange for raw materials or some other product, usually to be supplied at a later date in the contractual arrangement?

- A. Counter-purchase
- B. Barter
- C. Buyback
- D. Offset

Answer -C

Theme Two: Human Resource and Organization Behavior

45. Performance appraisal may have the following uses except one; which is

- A. Helps us to determine and manage the safety of workers
- B. Equal employment opportunity and job design errors
- C. Career planning and development and Training and development needs
- D. Performance improvement and compensation adjustment

Answer -A

46. _____ is an individual's beliefs and expectancies about his or her ability to accomplish a specific task effectively?

- A. Self esteem
- B. Self-efficacy
- C. Self-monitoring
- D. Locus of control

Answer -B

47. Which one of the following is not correct about leadership?

- A. Leadership is a process of guiding and motivating others
- B. Leadership is a relationship where influence is involved

- C. Leadership occurs between groups
- D. Leadership involves goal attainment

Answer -C

48. One of the following is not the most common problem in appraisal _____

- A. Lack of objectivity
- B. Recent behavior biases of personnel
- C. Low appraiser motivation
- D. Job relatedness

Answer -D

49. _____ is a tendency to choose information that supports our view points?

- A. Stereo types
- B. Selective perception
- C. First impression
- D. Self-fulfilling proficiencies

Answer -B

50. Which one of the following is a not ingredient of Leadership?

- A. The ability to use power effectively
- B. An ability to comprehend
- C. Ability to inspire
- D. Communication style

Answer -D

51. Which one of the following is correctly arranged?

- A. Establishing performance standards, measuring performance and communicating standards to employees.
- B. Establishing performance standards, communicating standards to employees and measuring performance.
- C. Measuring performance, establishing performance standards, communicating standards to employees.
- D. Establishing performance standards, initiating corrective actions and measuring performance.

Answer -B

52. People observe a very brief bit of a person's behavior in our first encounter and infer that this behavior reflects what the person is really like?

- A. Stereo types
- B. Selective perception
- C. First impression
- D. Self-fulfilling proficiencies

Answer -C

53. _____ is among leadership skills in which it comprises; problem solving, innovation, and creativity that helps in today's global market place?

- A. Communication skill
- B. HRD skill
- C. Creativity
- D. Self- management of Learning

Answer -C

54. _____ refers to advancement of an employee to a higher post carrying greater responsibilities, higher status and better salary.

- A. Demotion
- B. Transfer
- C. Promotion
- D. Job change

Answer -C

55. _____ is a pre disposition to respond in a positive or negative way to someone or something in one's environment.

- A. Attitude
- B. Behavior
- C. Values
- D. Ethics

Answer -A

56. All of them are elements of Position power except?

- A. Legitimate power
- B. Expert power
- C. Coercive power
- D. Reward power

Answer -B

57. _____ is voluntary separation initiated by the employee himself.

- A. Resignation
- B. Lay off
- C. Retrenchment
- D. Retirement

Answer -A

58. Which one of the following is not the features of work stress?

- A. It results from the deviation of expectations from actual situation
- B. It is symptomatic
- C. Stress is an independent concept
- D. It will have psychological or physical impact

Answer -C

59. _____ is a type of change it is a 'non-paradigmatic change implemented slowly through staged initiatives'.

- A. Reconstruction
- B. Evolution
- C. Adaptation
- D. Revolution

Answer-C

60. The main objective of a compensation administration is

- A. Rewarding desired behaviors effective compensation plans reward performance, loyalty, experience, responsibility
- B. To establish fair and equitable rewards to the employees so that they are motivated to wards organizational objectives
- C. Acquire qualified personnel making compensation high enough to attract applicants
- D. Ensuring internal and external equity making the pay equal to the work effort

Answer -B

61. Which one of the following statements is not true about Maslow's hierarchy of needs theory?
- A. The five levels of needs are arranged in hierarchical order
 - B. Physiological needs are the lowest level
 - C. The lower order need must be fully satisfied before the next higher need becomes potent
 - D. The need hierarchy concept has not been well supported by research

Answer -C

62. One of the following is not an activity which is done in BPR process at stage 3?
- A. Bench marking
 - B. Determine the size of the performance gaps
 - C. Envisioning improvement goals
 - D. Begin redesigning

Answer -A

63. It is a systematic determination of the value of each job in relation to other jobs in the organization this involves.
- A. Source of performance
 - B. Determine social status
 - C. Reward for performance
 - D. Job evaluation

Answer -D

64. The more consistent a behavior, the more the observer is inclined to:
- A. Depend on the behavior
 - B. Attribute it to internal causes
 - C. Attribute it to consensus
 - D. Attribute it to external causes

Answer -B

65. _____ is the one who is responsible for reengineering a specific process?
- A. Leader
 - B. Process owner
 - C. Reengineering team
 - D. Core team

Answer -B

66. _____ is a system that compensates the workers for each unit of out put

- A. Piece work
- B. Production bonuses
- C. Pay – for- knowledge
- D. Non-monetary incentives

Answer-A

67. One of the following is correct about attitude and behavior?

- A. Our subsequent behavior is consistent with our expressed attitude.
- B. The shorter the time between the attitude measurement and the observed behavior the stronger the relationship
- C. High self-monitors display little correspondence their attitude and behavior
- D. The social system/ context provides information about acceptable attitudes and behaviors

Answer -B

68. _____ is a behavior consistent with espoused values; honest, ethical, trustworthy?

- A. Integrity
- B. Perseverance or tenacity
- C. Flexibility
- D. Task-relevant knowledge

Answer-A

69. Wages, salaries, commissions and bonus are examples of _____

- A. Non-financial indirect compensation expected from the job itself
- B. Financial indirect compensation given by the management for the employees
- C. Financial direct compensations given to the employees based on their effort
- D. Non-financial direct compensation which is expected from the job environment

Answer -C

70. One of the shortcuts used to judge others involves evaluating a person based on how he/she compares to other individuals on the same characteristic. This shortcut is known as:

- A. Selective perception
- B. Contrast effects
- C. Halo effect
- D. Prejudice

Answer-B

71. A preferred leadership style in which followers have high in task-oriented behavior and low in relationship behavior.

- A. Telling
- B. Selling
- C. Participating
- D. Delegating

Answer-A

72. The determinants of financial compensation will include _____

- A. Ensuring financial compensation supports the social and economic interest
- B. Protect, maintain and increase the welfare of the worker
- C. Organization, the labor market, the job itself and the employees
- D. Attract individuals into the organization, retain employees and motivate them

Answer -C

73. _____ is a type of organizational culture in which employees display their feelings and views about the organization?

- A. Functional culture
- B. Descriptive culture
- C. Perceptual culture
- D. Value culture

Answer -C

74. All are the importance of Industrial Relation except _____

- A. It is a key for increase productivity in industrial establishments
- B. To protect workers interests to improve their working conditions
- C. To protect the right of managers and employers
- D. Management initiated benefits

Answer -D

75. Identify the wrong match?

- A. Aggressive mechanism-negativism
- B. Compromise mechanism-conversation
- C. Withdrawal mechanism-flight
- D. Aggressive mechanism-Displacement

Answer -B

76. Which one of the following is the failure for reasons trait approach proven more successful in explaining leadership?

- A. It overlooks the needs of leaders
- B. It generally fails to clarify the relative importance of various behaviors
- C. It separate cause from effect
- D. It ignores situational factors

Answer -D

77. What is grievance?

- A. Any factor involving wages hours or conditions of employment that is used as complaints against the employers
- B. Any satisfaction or feeling of justice in connection with one's employment situation
- C. Any dissatisfaction or feeling of in justice in connection with one's employment situation
- D. Disputes between management union and employees are resolved in a series of steps

Answer -A

78. Employee relations can be practiced in three different ways which are_____

- A. Communication, counseling and employee participation
- B. Great commitment of all employees to the success of the organization
- C. Improve satisfaction of employees get from their work
- D. Help the organization to improve performance and productivity

Answer -A

79. Which one of the following is a motivational factor or satisfiers?

- A. Responsibility
- B. Work conditions
- C. Supervision
- D. Company policy

Answer -A

80. Which of the following is correctly matched?

- A. Ohio State University-initiating and consideration
- B. University of Michigan- concern for people and concern for production
- C. University of Texas- employee centered and job centered
- D. University of Oxford - task-oriented behavior and people-oriented behavior

Answer -A

81. Which one of the following is the best conflict management strategy when conflict parties are in high cooperativeness but low in assertiveness?

- A. Avoiding
- B. Collaboration
- C. Competing
- D. Accommodating

Answer -D

82. At the norming stage, the team is involved in defining _____

- A. Goals
- B. Roles
- C. Relations
- D. d. None of the above

Answer -A

83. Students doing group work may be unhappy with a high grade if they feel some members of the group didn't contribute uniformly to the effort in getting that grade. This is an example of:

- A. Maslow's hierarchy of needs
- B. Equity Theory
- C. Expectancy Theory
- D. Self-efficacy Theory

Answer -B

84. The three stages of the change process are:

- A. unfreezing, adjustment, and refreezing
- B. adjustment, unfreezing, and refreezing
- C. adjustment, unfreezing, and re-adjustment
- D. adjustment, re-adjustment, and unfreezing

Answer -A

85. People resist change because:

- A. they can't see the benefits
- B. they don't see the need
- C. they don't expect success
- D. All of the above

Answer -D

86. Failure to reach agreement in collective bargaining leads to all except_____

- A. An impasse
- B. Strike
- C. Lockouts
- D. Negotiation

Answer -D

Theme three: Innovation, Strategy and Project Management

87. Entrepreneurial Opportunities are defined as:

- A. situations in which new goods, services, raw materials and organizing methods can be sold at greater than their production cost
- B. new market entry through entrepreneur action
- C. the entrepreneur's mental processes in deciding whether or not to act on a potential opportunity
- D. a feasibility assessment

Answer -A

88. John woke up and went to the ATM to take money. He then went grocery store to buy some products and paid with his debit card. He finished off his day by going to school and registered online for his computer class. John has had multiple contacts with what kind of information systems throughout his day?

- A. Executive Information System)
- B. Management Information system
- C. Transaction Processing System
- D. Decision support system

Answer -B

89. Which one of the following is the main concern for corporate- level strategy?

- A. Choice of businesses entry (diversification)
- B. Involves policies related with new product development
- C. Focus on decisions related with competitive strategy
- D. Involve specific action-oriented

Answer -A

90. Often project formulation is deficient because of the following EXCEPT.

- A. Poor assessment of input requirements
- B. Commission of project linkages
- C. Poor judgments because of lack of experience and expertise
- D. Deliberate over estimation of benefits and under estimation of costs

Answer -B

91. Bethlehem's small jewelry store with three locations, design and manufactures much of its own jewelry while its competitors (many of them large departments store) sell standard, "off the shelf jewelry". As a result many customers see Bethlehem's as the place to go for unique pieces of jewelry. Bethlehem's reputation for selling unique and custom designed jewelry is a(an) _____

- A. Threat
- B. Strength
- C. Weakness
- D. Opportunity

Answer -B

92. Which one of the following is incorrect correlation between tacit- explicit interactions?

- A. Tacit to tacit-socialization
- B. Implicit to tacit- Externalization
- C. Explicit to explicit -combination
- D. Explicit to Tacit -Internalization

Answer -B

93. Identify the right match between formulation and implementation of a strategy?

- A. Excellent implementation & In appropriate formulation leads to strategic failure
- B. Excellent implementation & appropriate formulation leads to strategic success
- C. Poor implementation & appropriate formulation leads to strategic rescue
- D. Poor implementation & in appropriate formulation leads to strategic Problem

Answer -B

94. _____ is a structure in which there is more than one line of reporting managers.

- A. matrix organization
- B. Sound decision-making
- C. line organization
- D. Staff organization

Answer -A

95. The aggregation of factors that sets a company apart from its competitors and gives its unique position in the market is its:

- A. vision
- B. Mission
- C. Strategic plan
- D. Competitive advantage

Answer -D

96. _____ is a global network that uses universal standards to connect millions of different networks around the world.

- A. Extranet
- B. Entrant
- C. Internet
- D. network

Answer -C

97. Which one of the following is not important task (questions) for Strategic implementation?

- A. Who are the people, who will carry out the tasks of the strategy?
- B. What task must be left undone?
- C. When and in what order must tasks be done?
- D. How much task is done and what tools are needed to do them?

Answer -B

98. A _____ is the conversion of a project action plan into an operating timetable.

- A. Schedule
- B. Risk
- C. coordination activity
- D. Scoping

Answer-A

99. Rihanna operates a travel service that specializes in arranging trips for women, giving special attention to their needs and preference from security and comfort to activities and events designed to appeal to her target customers. Rihanna is pursuing a _____ strategy

- A. positioning
- B. Cost leadership

- C. Differentiation
- D. Focus

Answer-D

100. The use of information technology in business has serious ethical impacts on society except:
- A. time and resource theft
 - B. authorized use of information can seriously damage the privacy of individual employment
 - C. Damaged arm and neck muscles
 - D. dehumanize and depersonalize activities that eliminate the human relationships

Answer -B

101. “.....a deliverable-oriented grouping of project elements which organizes and defines the Total Scope of the project is _____.
- A. Purpose of Work Breakdown Structure
 - B. Work Breakdown Structure
 - C. planned and assigned to a responsible person
 - D. graphically in boxes (preferred)

Answer -A

102. One of the following is not true about small business
- A. Are privately owned corporations, partnerships, or sole proprietorships.
 - B. Are independently owned, operated, and financed.
 - C. Have fewer employees and high volume of sales.
 - D. Has relatively little impact on its industry.

Answer -C

103. Networking and telecommunications technologies, along with computer hardware, software, data management technology, and the people required to run and manage them, constitute an organization's
- A. data management environment
 - B. networked environment
 - C. IT infrastructure
 - D. information system

Answer -D

104. Liquidation is an appropriate strategy for one of the following business groups?

- A. Stars
- B. Cash cows
- C. Dogs
- D. Question marks

Answer -C

105. A _____ is a multitask job that has cost, time, and scope requirements and that is done only one time.

- A. Project
- B. Project plan
- C. Project idea
- D. Project identification

Answer -A

106. Which of the following is not the main purpose for writing a business plan?

- A. The plan helps the company develop a "road map" to follow.
- B. scans the only external environment
- C. The plan introduces potential investors and other stakeholders to the business opportunity
- D. allocates resources in the best possible

Answer -B

107. The emergence, for Amazon.com, of new competitors in the sphere of online shopping illustrates what disadvantage posed by the use of information systems to achieve competitive advantage?

- A. E-commerce is affected by the law of diminishing returns.
- B. Internet technologies are universal, and therefore usable by all companies.
- C. Internet shopping produces cost transparency.
- D. The Internet enables the production or sales of substitute products or services

Answer -B

108. A project has clearly-defined aims and set out to produce clearly-defined results. This means

- A. Projects have a purpose
- B. Projects are realistic
- C. Projects are limited in time and space
- D. Projects are unique

Answer -A

109. When buyers are able to join together to put pressure on a supplier, this is which of Porter's Five Forces?

- A. Competitive rivalry
- B. Threat of new entrants
- C. Bargaining power of customers
- D. Threat of substitute products

Answer -C

110. When employees in a project team use email to send and receive messages and use video conferences to hold electronic meetings and coordinate their activities, they are using .

- A. Transaction Processing Systems
- B. Process Control Systems
- C. Enterprise Collaboration Systems
- D. Decision Support System

Answer -C

111. Which one of the following is an important management issues central to strategy implementation?

- A. Devise policies
- B. Allocate resources
- C. Restructure and reengineer
- D. Change managers with strategy

Answer -D

112. Which one of the following does not indicate the similarity between project and a program?

- A. Have purpose/objectives
- B. Degenerate output that are goods and/or services.
- C. Require input like financial, manpower, material.
- D. Operate over time

Answer -B

113. When suppliers are limited or inputs are scarce, which of Porter's Five Forces are at play?

- A. Competitive rivalry
- B. Threat of new entrants
- C. Bargaining power of suppliers
- D. Threat of substitute products

Answer -C

114. A production manager needs a system to help determine how much product to manufacture based on the expected sales associated with a future promotion, plus the location and availability of the raw materials necessary to manufacture the product. What type of system would meet this manager's needs?

- A. Transaction processing system
- B. Process control system
- C. Enterprise collaboration system
- D. Decision support system

Answer -D

115. Which of the following is odd?

- A. University educational project
- B. Hydroelectric dam construction project
- C. Food security projects
- D. A road and bridge building project

Answer -A

116. A product or service that customers have come to expect from an industry, which must be offered by new entrants if they wish to compete and survive, is known as a (n)?

- A. Switching Costs
- B. Loyalty Programs
- C. Entry Barriers
- D. Affiliate Programs.

Answer -B

117.All of the following are components of an information system except:

- A. Software & hardware.
- B. Culture
- C. Procedures
- D. People

Answer -B

118.Which of these requires a firm to establish annual objectives, devise policies, and allocate resources?

- A. Strategy Formulation
- B. Strategy Implementation
- C. Strategy Evaluation
- D. None Of The Above

Answer -B

119.Which one of the following is not an importance of safety measure?

- A. To ensure regular work flow
- B. C. Contribution to team sprite
- C. Encourage sense of belongingness
- D. In proper graded equipment

Answer -D

120.In which stage, funds are actually disbursed to get the project started and keep running?

- A. Implementation
- B. Negotiation and Financing
- C. Organizational
- D. Appraisal and Selection

Answer -A

121.What does Porter's five forces model determine?

- A. The relative attractiveness of an industry
- B. The competitive advantage of a competitor
- C. The distribution chain of a competitor
- D. The relative attractiveness of another business

Answer -A

122.Which one of the following is not a problem in implementing a strategic Plan?

- A. Activities ineffectively coordinated
- B. Crises deferred attention away
- C. Anticipated problems
- D. Employees without capabilities

Answer -C

123.All projects stem from new ideas. So that ____.

- A. Projects are an adventure
- B. Projects are unique
- C. Projects can be assessed
- D. Projects are complex

Answer -B

124.Texas Instruments, one of the first producers of handheld calculators, put a great deal of effort into expanding production of calculators to drive down the cost and thus expand the market. This is most indicates:

- A. Production
- B. Product
- C. Marketing
- D. Societal

Answer -A

125. Assembling project team and assigning their responsibilities are done during which phase of a project management?

- A. Initiation
- B. Planning
- C. Execution
- D. Closure

Answer -A

126. A schedule activity may begin 10 days before the predecessor activity finishes. This is an example of:

- A. Finish-to-Start
- B. Start-to-Finish
- C. Start-to-Start
- D. Finish-to-Finish

Answer -A

127. What is the purpose of a business-level strategy?

- A. To determine the overall direction of the company
- B. To allocate resources to different business units
- C. To achieve a sustainable competitive advantage in a specific market
- D. To identify potential acquisition target

Answer -C

128. The BCG matrix is based on _____.

- A. Industry Growth Rate and Business Strength
- B. Industry Growth Rate and Relative Market Share
- C. Industry Attractiveness and Business Strength
- D. Industry Attractiveness and Relative Market Share

Answer -B

129. The various organizational routines and processes that determine how efficiently and effectively the organization transforms its inputs into outputs are called:

- A. Strengths.
- B. Core Competencies.
- C. Capabilities.
- D. Customer Value

Answer -B

130. Selling all of a company's assets in parts for their tangible worth is called _____.

- A. Unrelated Integration
- B. Concentric Diversification
- C. Divestiture
- D. Liquidation

Answer -D

Theme 4: Managerial Statistics and Business Research

131. Which of the following is the first step in starting the research process which typically takes the most time?

- A. Searching sources of information to locate problem.
- B. Survey of related literature
- C. Identification of problem
- D. Searching for solutions to the problem

Answer -C

132. Which of the following statements about the sampling distribution of the sample mean is false?

- A. The sampling distribution is generated by repeatedly taking samples of size n and computing the sample means.
- B. The standard deviation of the sampling distribution is σ .
- C. The sampling distribution is approximately normal whenever the sample size is sufficiently large ($n \geq 30$).
- D. The mean of the sampling distribution is equal to μ .

Answer -B

133. A reasoning where we start with certain particular statements and conclude with a universal statement is called

- A. Deductive Reasoning
- B. Inductive Reasoning
- C. Abnormal Reasoning
- D. Transcendental Reasoning

Answer -B

134. 95% confidence interval for the mean of a population is such that:

- A. It contains 95% of the values in the population
- B. There is a 95% chance that it contains all the values in the population.
- C. There is a 95% chance that it contains the mean of the population
- D. There is a 95% chance that it contains the standard deviation of the population

Answer -C

135. Which of the following would occur in a longitudinal study?

- A. Measures are taken from different participants over an extended period of time
- B. Participation is expected to last for a minimum of 24 hours
- C. Measures are taken from same participants on different occasions usually over extended period of time
- D. Measures are taken from participants in at least 6 different countries

Answer -C

136. Analysis of variance is a statistical method of comparing the several populations_____.

- A. Means
- B. Variances
- C. Standard Deviations
- D. Normal distribution

Answer -A

137. A research proposal is best described as a

- A. Framework for data collection and analysis
- B. Argument for the merit of the study
- C. Description of how the researcher plans to maintain an ethical perspective during the study
- D. Description of the research process for a research project

Answer -D

138. The correlation coefficient is used to determine:

- A. A specific value of the y-variable given a specific value of the x-variable
- B. A specific value of the x-variable given a specific value of the y-variable
- C. The strength of the relationship between the x and y variables
- D. None of these

Answer -C

139. A regression analysis between sales (in \$1000) and price (in dollars) resulted in the following equation:

$$Y = 50,000 - 8X$$

The above equation implies that an

- A. increase of \$1 in price is associated with a decrease of \$8 in sales
- B. increase of \$8 in price is associated with an increase of \$8,000 in sales
- C. increase of \$1 in price is associated with a decrease of \$42,000 in sales
- D. increase of \$1 in price is associated with a decrease of \$8000 in sales

Answer -D

140. The purpose of a literature review is to:

- A. Use the literature to identify present knowledge and what is unknown
- B. Assist in defining the problem and operational definition
- C. Identify strengths and weaknesses of previous studies
- D. All of the above

Answer -D

141. Which of the given plots is suitable for testing the linear relationship between a dependent and independent variable?

- A. Bar chart
- B. Scatter plot
- C. Histograms
- D. Pie-chart

Answer -B

142. From the following statement one is not the limitation of Statistics?

- A. Statistics does not deal with a single observation
- B. Statistics does not deal with a single observation
- C. Statistics deal with a several observation
- D. Statistics does not deal with qualitative variables directly

Answer -C

143. Which one of the following measures is the intersection point between less than more than ogive curve?

- A. Mean
- B. Median
- C. mode
- D. Variance

Answer -B

- 144.If for a contingency table $df=12$ and number of rows is 4 then the number of columns will be
- A. 4
 - B. 5
 - C. 3
 - D. 2

Answer -B

- 145.The only probability distribution it's mean & variance always the same is
- A. Binomial distribution
 - B. Normal distribution
 - C. Poisson distribution
 - D. T-distribution

Answer -C

- 146.Which of the following research seeks to investigate an area that has been under researched with preliminary data that helps shape the direction for future research?
- A. Descriptive
 - B. Exploratory
 - C. Explanatory
 - D. Positivist

Answer -B

- 147.In a one-tail test for the population mean, if the null hypothesis is not rejected when the alternative hypothesis is true, then:
- A. Type I Error Is Committed
 - B. Type II Error Is Committed
 - C. Correct Decision Is Made
 - D. Two-Tail Test Should Be Used Instead Of A One-Tail Test

Answer -B

- 148.The application of the scientific method to the study of business problems is called:
- A. Inductive reasoning
 - B. Deductive reasoning
 - C. Business research
 - D. Grounded Theory

Answer -C

149. Which of the following is not a function of clearly identified research questions?

- A. They guide your literature search
- B. They keep you focused throughout the data collection period
- C. They make the scope of your research as wide as possible
- D. They are linked together to help you construct a coherent argument

Answer -C

150. "There is no relationship between higher motivation level and higher efficiency" is an example of which type of hypothesis?

- A. Alternative hypothesis
- B. Null hypothesis
- C. Correlational
- D. Research

Answer -B

151. An interview conducted by a trained moderator among a small group of respondents in an unstructured and natural manner is a -----

- A. Depth Interview
- B. Case Study
- C. Focus Group Discussion
- D. None of the above

Answer -C

152. When a number of researchers use the same operational definition to measure a variable and achieve the same results, the measure is said to be

- A. Instrumental
- B. Reliable
- C. Valid
- D. Factual

Answer -B

153. The distinction between quantitative and qualitative data in social research is _____.

- A. Theory and Method
- B. Good Data and Less Good Data
- C. Numerical and Non-Numerical Data
- D. Philosophy and Religion

Answer -C

154.The group that does not receive the experimental treatment but participates in the study is the _____

- A. Experimental group
- B. Control group
- C. Treatment group
- D. Independent group

Answer -B

155.Which types of measurement scales are associated with arbitrary zero origin?

- A. Nominal
- B. Ordinal
- C. Interval
- D. Ratio

Answer -C

156.Which types of measurement scales are associated with true zero origin?

- A. Nominal
- B. Ordinal
- C. Interval
- D. Ratio

Answer -D

157.From the following is not an example of ratio data?

- A. Weight
- B. Height
- C. Temperature (Celsius)
- D. Rainfall

Answer-C

158.When we try to explain the cause and effect relationships among variables, the research is called_____.

- A. Exploratory Research
- B. Descriptive Research
- C. Causal Research
- D. Qualitative Research

Answer -C

159. The variable which can affect dependent variable but presently not included in the scope of study is called _____.

- A. Independent variable
- B. Extraneous variable
- C. Effect variable
- D. None of the above

Answer -B

160. _____ is conducted to detect weaknesses in research instrument's design

- A. Pilot study
- B. Questionnaire
- C. Interview
- D. Sampling

Answer -A

Theme 5: Management Science and Financial Management

161. Select the odd one about CAPM,

- A. A beta of 0 indicates the stock tends to rise or fall dependently from the market.
- B. CAPM is one of the most commonly used ways to determine the cost of common stock.
- C. A negative beta means there is an inverse relationship between stock and market
- D. A positive beta means the stock tends to rise and fall with the market.

Answer -A

162. An issue of common stock is sold to investors for Br 40 per share. The issuing corporation incurs a selling expense of 3 per share. The current dividend is Br 2.00 per share and is expected to grow at 8% annual rate. The specific cost of common stock is _____.

- A. 37
- B. 5.84%
- C. 2.16
- D. 13.84%

Answer -D

163. Which of the following defined as the possibility of occurrence of any unfavorable event that has the potential to minimize gains and maximize loss of a business?

- A. Cost of capital
- B. Business risk
- C. Financial risk
- D. Interest rate risk

Answer -B

164. How much must you deposit now on January 1, 1999 to have a balance of Br. 10,000 on December 31, 2003? Assuming annual interest rate is 8%.

- A. 14,693.28
- B. 6,805.83
- C. 13,604.88
- D. 6,900

Answer -B

165. ABC Energy Services has a beta of 1.2 the risk free rate on T-bills is currently 6% and the market return has averaged 14%. What is the estimated cost of common stock equity?

- A. 8%
- B. 14%
- C. 15.6%
- D. 4.4%

Answer -C

166. Which one of the following is design or strategic decision?

- A. Scheduling
- B. Quality assurance
- C. Production planning
- D. Product design

Answer -D

167. Hungarian Method is used to solve;

- A. Transportation Problem
- B. Linear Programming Problem
- C. Assignment Problem
- D. Network Problem

Answer -C

168. An annuity for which the cash flows occur at the end of each period

- A. Ordinary Annuity
- B. Annuity Due
- C. Deferred Annuity
- D. Perpetuity

Answer -C

169. Select the correct sentence from the given alternatives,

- A. The process of computing the present value is called compounding
- B. Present value is the value today of a single cash flow, an annuity or uneven cash flows.
- C. Present value is the exact reversal of future value
- D. There is no such a big difference between future value & Present value

Answer -D

170. A competitive advantage can be achieved through;

- A. Late responses
- B. Less flexibility
- C. Higher the cost per units
- D. Differentiation

Answer -D

171. What network model enables engineer managers to schedule, monitor, and control large and complex projects by employing three time estimate for each activity?

- A. Forecasting
- B. Program evaluation review technique
- C. Critical path method
- D. Simulation

Answer -B

172. Organizations become involved in product or service design. The reason behind is;

- A. to have excessive warranty claims
- B. to increase cost
- C. to increase customer complaints
- D. to increase the level of customer satisfaction

Answer -D

173. Operations research was the result of:

- A. Civil war
- B. World war II
- C. World war I
- D. Industrial revolution

Answer -B

174. Which sentence is not true about cost of long-term debt?

- A. It is the after-tax cost today of raising long-term funds through borrowing.
- B. It is the minimum rate of return required by suppliers of debt.
- C. Determine net proceeds from the sale of each bond is the first thing in computing it
- D. It is the minimum rate of return required by demanders of debt.

Answer -D

175. _____ is develop a product that is unaffected by minor variations in environmental factors.

- A. Value engineering
- B. Concurrent engineering
- C. Robust design
- D. Modular design

Answer -A

176. A linear programming problem deals with problems involving only;

- A. Single objective
- B. Two objectives
- C. Multiple objectives
- D. Three objectives

Answer -A

177. _____ is a conversion process in which there is a high volume, low variety processes.

- A. Continuous process
- B. Intermittent process
- C. Repetitive process
- D. Mass customization

Answer -A

178. The decision maker has complete knowledge or perfect information about the consequences of alternative courses of action. Under such environment, the type of the decision is;

- A. Certainty
- B. Risk
- C. Uncertainty
- D. Utilities

Answer-A

179. _____ is the maximum output that can possibly be attained.

- A. Effective capacity
- B. Utilization
- C. Design capacity
- D. Actual capacity

Answer -C

180. Key concept under which technique are set of events and activities, resource allocation, time and cost considerations?

- A. Game theory
- B. Decision theory
- C. Network Model
- D. Assignment Model

Answer -C

181. Operations are arranged in the sequence required to make the product. It is;

- A. Product Layouts
- B. Fixed-Position Layouts
- C. Process Layouts
- D. Hybrid Layouts

Answer-A

182. Which one of the following is true about linear programming problem;

- A. Relationship among all variable is linear
- B. In graphical method of LPP, the optimum value occurs anywhere in feasible region
- C. Value of decision variables can be any integer numbers
- D. Any linear programming problem can be solved using the graphical solution

Answer -A

183. Which one of the following is determinant of service quality?

- A. Perishable
- B. Separable
- C. Easily measured
- D. Responsiveness

Answer -D

184. In a transportation problem, we must make the number of _____ and _____ equal.

- A. Destinations; Sources
- B. Columns; Rows
- C. Units Supplied; Units Demanded
- D. Warehouses; Suppliers

Answer -C

185. The process whereby a firm determines the costs associated with organization activities from purchasing raw materials to manufacturing products to marketing those products is called?

- A. Value chain analysis
- B. Supply chain analysis
- C. Cost chain analysis
- D. Product chain analysis

Answer -A

186. A cost of quality that is incurred for fixing defective products to conform the quality specifications is;

- A. Scarp cost
- B. Process downtime costs
- C. Rework cost
- D. Price-down grading costs

Answer -C

187. _____ concerned with making decisions under conditions of complete certainty about the future outcomes and under conditions such that we can make some probability about what will happen in future.

- A. Game Theory
- B. Queuing Theory
- C. Decision Theory
- D. Inventory Models

Answer -C

188. _____ is a technique that considers both qualitative and quantitative factors in choosing a location.

- A. Breakeven analysis
- B. Center of gravity
- C. Factor rating
- D. Transportation model

Answer -C

189.The objective of transportation problem is to;

- A. increase distribution or transportation cost
- B. determine the minimum total cost or maximum profit of transportation
- C. identify the maximum amount that can be shipped over the costly-route
- D. identify the optimal shipping routes-maximum cost route

Answer -B

190.Which of the following financial statements is also known as a statement of financial position?

- A. Balance sheet
- B. Statement of cash flows
- C. Income statement
- D. Bookkeeping

Answer -A

191.ABC Company producing shoe and it faced variation of orders from customers. Then it plans to hire and lay off employees as the order rate varies to match the production rate to meet the order rate. The company is exercising;

- A. Chase strategy
- B. Process strategy
- C. Level strategy
- D. Stable strategy

Answer -A

192.What type of process would a Cement plant be most likely to use?

- A. Continuous flow
- B. Project c
- C. Job shop
- D. Flow shop

Answer-A

193.Which of these layouts is most suitable for processing sugar from sugar beets or sugar cane?

- A. Process-Oriented Layout
- B. Fixed-Position Layout
- C. Focused Factory
- D. Product-Oriented Layout

Answer -A

194.The objective of network analysis is to_____.

- A. Minimize Total Project Duration
- B. Minimize Total Project Cost
- C. Minimize Production Delays, Interruption And Conflicts
- D. Maximize Total Project Duration

Answer -A

195. An activity which does consume neither any resource nor time is known as _____.

- A. Predecessor Activity
- B. Successor Activity
- C. Dummy Activity
- D. Activity

Answer -C

196. If the net evaluation corresponding to any non -basic variable is zero, it is an indication of the existence of a _____.

- A. Initial Basic Feasible Solution
- B. Optimum Basic Feasible Solution
- C. Optimum Solution.
- D. Alternate Optimum Solution

Answer -D

197. In converting an equal constraint for use in a simplex table, we must add

- A. a surplus variable.
- B. a slack variable
- C. a surplus and a slack variable
- D. an artificial variable

Answer -D

198. The C_j row in a simplex table for maximization represents:

- A. profit per unit
- B. gross profit
- C. gross profit
- D. constraints

Answer -A

199. For a minimization problem using a Simplex table, we know we have reached the optimal solution when the $C_j - Z_j$ row

- A. Has no positive numbers in it.
- B. Has no negative numbers in it
- C. Has no nonzero numbers in it
- D. Cannot be determined

Answer -B

200. An investigation of financial statements designed to determine their fairness in relation to generally accepted accounting principles is called ____.

- A. Internal control structure
- B. External control structure
- C. Bookkeeping
- D. Audit

Answer -D

Samara University
College of Business and Economics
Department of Management
Answer Sheet Booklet

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